argenx (ARGX) investment memo

Long the commercial franchise after the pipeline reset

VIEW	REFERENCE PRICE	BASE 12M VALUE	NEXT CATALYST
LONG	**$825.03**	**$1,006 (+22%)**	**Q3 RESULTS | 22 OCT**

Thesis in one sentence: The October selloff reset expectations after the UNITY failure, while VYVGART remains a rapidly scaling, increasingly profitable franchise and the remaining pipeline provides upside not required in the base case.

Executive summary

- argenx generated $1.516bn of Q2 2026 product net sales, up 60% year over year and 17% quarter over quarter. H1 sales were $2.813bn, H1 operating profit was $887m, and cash plus current financial assets were $5.2bn at 30 June 2026. [1]
- On 8 October, the Phase 3 UNITY Sjogren's study was discontinued for futility. The same morning, FB102 met the Phase 2 celiac disease primary endpoint and argenx said it plans to advance the program into Phase 3. [2][3] The pipeline signal is mixed rather than uniformly negative.
- The refreshed model produces about $479 bear, $1,006 base, and $1,441 bull 12-month values. The base case assumes 25% FY2027 sales growth, a 38% operating margin and a 25x exit P/E. That is a meaningful deceleration from Q2 2026 reported growth, while still supporting roughly 22% upside from the reference price.

What the market may be mispricing

The selloff correctly removes value from Sjogren's, but it does not directly impair the approved VYVGART franchise. My long thesis is that the market reaction over-weights one failed expansion indication relative to the earnings power of the existing franchise and the value of the remaining independent pipeline programs.

Reverse valuation provides a cleaner test. At a 25x 2030 exit P/E, 40% operating margin, and 10% required annual return, the current price requires about $8.9bn of 2030 product sales. That is roughly 9.4% annualized growth from the model's FY2026 base estimate. That hurdle is achievable if the commercial franchise continues to compound and margins scale, while the current price provides a lower starting multiple than the base target assumes.

Commercial engine: still the strongest part of the thesis

Quarterly product net sales increased from about $398m in Q1 2024 to $1.516bn in Q2 2026. Growth is naturally decelerating off a larger base, but absolute dollar expansion remains strong. Q2 2026 operating profit was $494m, more than double the prior-year quarter. [1]

This changes the investment setup: argenx no longer needs every pipeline program to succeed in order to produce substantial earnings. At $825, the stock trades at roughly 20.5x the revised base FY2027 EPS. I believe a 25x multiple is defendable if VYVGART continues to post strong growth and argenx demonstrates durable operating leverage.

Pipeline reset after 8 October

PROGRAM	UPDATE	MODEL TREATMENT	READ-THROUGH
UNITY / Sjogren's	Phase 3 stopped for futility	Zero explicit revenue	Removes one expansion path; no new safety signal
FB102 / celiac	Phase 2 met primary endpoint, p=0.0176	No discrete revenue yet	Preserves optionality from Forte acquisition

ALKIVIA / myositis	Positive Phase 3 topline	Upside not separately valued	Supports efgartigimod expansion
EMPASSION / MMN	Topline expected Q4 2026	Catalyst only	Next major binary pipeline readout

Forte acquisition and cash bridge

argenx announced a $77-per-share cash acquisition of Forte with approximately $2.2bn of headline equity value and completed it on 27 August. The completion release says 19.895m shares were tendered and, together with shares already owned by argenx and affiliates, represented about 87.13% of Forte outstanding. [4][5]

The model therefore does not subtract the full $2.2bn headline value from the June cash balance. It uses an estimated incremental consideration of about $1.82bn, implying illustrative pro forma cash of about $3.38bn before acquired cash, option treatment, fees and closing adjustments. This is an analyst estimate that should be reconciled to Q3 reporting.

Valuation

CASE	FY27 SALES	FY27 EPS	EXIT P/E	12M VALUE	RETURN
Bear	$6.65bn	$26.62	18x	**$479**	**-41.9%**
Base	$7.77bn	$40.23	25x	**$1,006**	**+21.9%**
Bull	$8.66bn	$48.04	30x	**$1,441**	**+74.7%**

Interpretation: the long works without assigning explicit value to Sjogren's or early pipeline revenue. The base case requires 25% FY2027 growth and a 25x multiple, both of which are demanding but defensible against the current commercial trajectory and operating leverage.

Catalysts and decision rules

Long catalysts: Q3 sales at or above the modeled trajectory; durable operating leverage; successful MMN data; and continued uptake across approved VYVGART indications.

Thesis breakers: Material VYVGART deceleration; weaker margins despite scale; additional late-stage failures that undermine the premium multiple; or Forte cash usage materially above the modeled bridge.

Q3 checklist: Product sales and sequential growth; operating expenses and margin; post-Forte cash; revised clinical calendar; management commentary on the Sjogren's read-through.

Investment conclusion

LONG ARGX AT $825.03; 12-MONTH TARGET $1,006 (+22%). The thesis is that the October reset removed a meaningful but non-core expansion opportunity while leaving the VYVGART earnings engine intact. The base case assumes a sharp slowdown to 25% FY2027 growth, zero Sjogren's revenue, and no discrete value for FB102 or empasiprubart, yet still supports a 25x earnings multiple and roughly 22% upside. I would exit or reassess if commercial growth or operating leverage breaks rather than simply because another early pipeline program disappoints.

Sources

[1] argenx, Half Year 2026 Financial Results and Second Quarter Business Update, 23 Jul 2026. https://argenx.com/news/2026/press-release-3331862.html
[2] argenx, Phase 3 UNITY Study update, 8 Oct 2026. https://argenx.com/news/2026/press-release-3376934
[3] argenx, Positive Topline Results from Phase 2 FB102 in Celiac Disease, 8 Oct 2026. https://argenx.com/news/2026/press-release-3376936.html
[4] argenx, Agreement to Acquire Forte Biosciences, 27 Jul 2026. https://argenx.com/news/2026/press-release-3333257.html
[5] argenx, Completion of Forte Biosciences Acquisition, 27 Aug 2026. https://argenx.com/news/2026/press-release-3352029.html
[6] Yahoo Finance, ARGX quote, 9 Oct 2026. https://finance.yahoo.com/quote/ARGX/

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